

Varnholt Acquisition LLC

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August 31, 2026

Varnholt Climate Services LLC
Attention: Managing Member
14 Velnoric Way
Tazmervale, ZZ 00000

Letter of Intent

Non-binding proposal to acquire the business of Varnholt Climate Services LLC

Dear Managing Member:

Varnholt Acquisition LLC (“Buyer”) is pleased to submit this letter of intent to acquire the business of Varnholt Climate Services LLC (“Seller”) on the principal terms below.

- 1. Transaction.** Buyer will acquire substantially all of the operating assets of Seller, including equipment, inventory, customer relationships, trade names and goodwill, free of liens, in a transaction structured as an asset purchase.
- 2. Purchase Price.** The total purchase price will be \$1,000,000, payable at closing in cash from Buyer’s equity injection and the proceeds of an SBA 7(a) loan, and by a promissory note from Buyer to Seller in the principal amount of \$50,000 (the “Seller Note”). The Seller Note will be repaid on the following terms: Full lifetime standby.
- 3. Financing.** Buyer’s obligations are conditioned on approval of an SBA 7(a) loan from Zelmivar Bank on terms acceptable to Buyer.
- 4. Due Diligence.** Seller will give Buyer and its advisers reasonable access to Seller’s books, records, contracts, facilities and personnel for 45 days after acceptance of this letter.
- 5. Exclusivity.** For 60 days after acceptance, Seller will not solicit, encourage or negotiate any other proposal for the sale of the business or its assets.
- 6. Confidentiality.** The parties’ existing confidentiality agreement continues to govern all information exchanged in connection with this proposal.
- 7. Non-binding Effect.** Except for Sections 5 and 6, which are binding, this letter is an expression of intent only and creates no obligation until a definitive purchase agreement is signed.
- 8. Expiration.** This letter will expire if not accepted in writing by November 30, 2026.

Sincerely,

BUYER: VARNHOLT ACQUISITION LLC

/s/ e-signed
By: Managing Member

Agreed and accepted by Buyer and Seller as of the date first written above.

AGREED AND ACCEPTED:

SELLER: VARNHOLT CLIMATE SERVICES LLC

/s/ e-signed
By: Managing Member